

ICMAI
**THE INSTITUTE OF
COST ACCOUNTANTS OF INDIA**
भारतीय लागत लेखाकार संस्थान
Statutory Body under an Act of Parliament
(Under the jurisdiction of Ministry of Corporate Affairs)

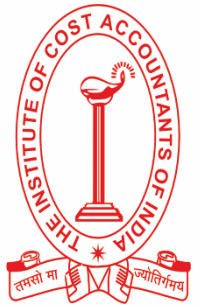
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Mode of Payments & Cash Restrictions

Behind every successful business decision, there is always a **CMA**



Core Regulatory Objectives



Anti-Evasion

Combating **Black Money** and unaccounted transactions through traceable banking channels.



Digitization

Promoting the **Digital India** vision by mandating electronic payment infrastructure for large entities.



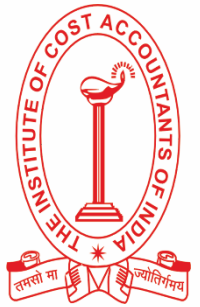
Traceability

Ensuring an **Audit Trail** for all high-value movements of capital and revenue expenditures.

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Statutory Mapping: 1961 vs. 2025

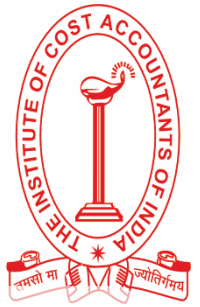


Concept	Old Section (1961)	New Section (2025)
Cash Expenditure Disallowance	40A(3)	Section 36(4)
Acceptance of Loans/Deposits	269SS	Section 185
Receipt of Cash > 2 Lakh	269ST	Section 186
Electronic Mode Facility	269SU	Section 187
Repayment of Loans/Deposits	269T	Section 188

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The General Expenditure Limit



10K

₹ per Person per Day

Section 36(4) Threshold

Any payment or **aggregate of payments** made to a person in a single day exceeding ₹ 10,000 results in a **100% disallowance** of the expenditure.

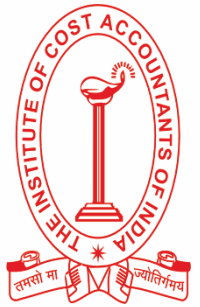
The payment must be made through **specified banking or online modes** to qualify for deduction.

Specified Banking or Online Mode shall mean transaction by an account payee cheque or an account payee bank draft or use of electronic clearing system through a bank account or through such other electronic mode [i.e., Credit card; Debit card; Net banking; IMPS; UPI; RTGS; NEFT; BHIM Aadhaar Pay; and Tier-III: Full KYC Central Bank Digital Currency wallets, P-CBDC, Wholesale/Cross-border CBDC]

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Deemed Income under Sec. 36(5)



Timing of Disallowance

If a deduction was allowed for a liability in a preceding year, but the payment is made in cash in a subsequent year.

Income Categorization

Such cash payment, if exceeding ₹ 10,000, shall be **deemed as income** under the head "Profits and Gains of Business or Profession".

Taxation Year

The deemed income is charged in the **subsequent tax year** in which the cash payment is actually made.

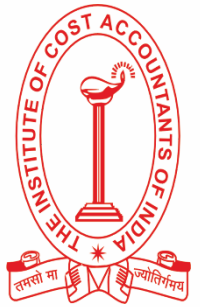
Double Compliance

This ensures that even if the audit is completed in year one, the cash restriction remains enforceable at the time of settlement.

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Logistics: The ₹ 35,000 Exception



Section 36(6) Provisions

Recognizing the operational realities of the transport sector, a higher limit is prescribed.

Payments for **plying, hiring, or leasing** of goods carriages allow cash payments up to **₹ 35,000** per day.

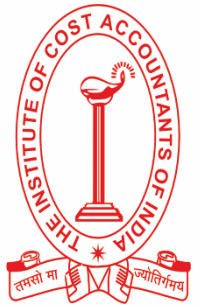
This exception is vital for **Truck Operators** and logistics providers handling en-route expenses.



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Rule 26 Exceptions (Part 1)



Banking & Financial Institutions



Payments made to **RBI, SBI**, or any banking/co-operative bank.

Government Payments



Payments to the **Government** which are required to be made in legal tender under their specific rules.

Book Adjustments



Payments made by way of **adjustment against liability** for goods/services provided by the assessee.

Agriculture Sector

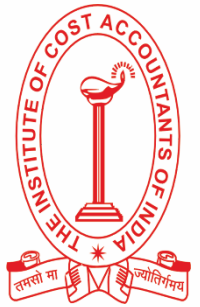


Payments to **cultivators/growers/producer** for purchase of agricultural / forest produce / animal husbandry / horticulture / apiculture / fish or fish products

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Rule 26 Exceptions (Part 2)



Cottage Industry

Payments to the producer for products manufactured **without the aid of power** in a cottage industry.



Authorized Dealers

Payments by **Money Changers** against purchase of foreign currency in normal course of business.



Retirement Benefits

Terminal benefits to employees up to ₹ **50,000** (Gratuity, Retrenchment compensation).

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Rule 26 Exceptions (Part 3)



Remote Salary

- Posting period: 15+ Days.
- Location: Remote site or Ship.
- Condition: Payee has **no bank account** at that specific site.



Unbanked Areas

- Place not served by **any bank**.
- Payee must ordinarily reside in that area.
- Carries on Business or Profession in such towns.



Banking Modes

- Letter of Credit (LC).
- Mail/Telegraphic Transfer.
- Book Adjustment between accounts.
- Bill of Exchange (Payable to Bank only).



Agent Payments

- Payment made to an **Agent**.
- Agent required to pay cash on behalf of person.
- For procurement of **Goods or Services**.

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Section 185

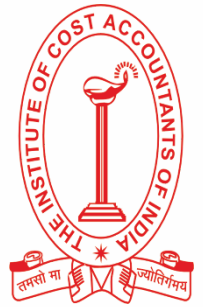
Loans & Deposits

Restricting cash inflows from financing activities and specified sums.



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Sec 185: Acceptance Limits



₹ 20,000 Threshold

No person shall take or accept any loan, deposit, or **specified sum** in cash if the aggregate is ₹ 20,000 or more.

Aggregation Principle

Includes the **unpaid balance** of previous loans/deposits from the same person.

Specified Sum Definition

Money receivable in relation to **transfer of immovable property**, regardless of completion.



Mandatory Modes

Transactions must be via:

- Account Payee Cheque
- Account Payee Bank Draft
- ECS/Online modes (Rule 48)



Sec 185: Exemptions & Exception



Agri-Income Exemption

- ✓ **Dual Condition:** Both the Payer and the Payee must have Agricultural Income.
- ✗ **No Taxable Income:** Neither party should have any income chargeable to tax under this Act.

 **185(1) SHALL NOT APPLY**

Enhanced Bank Limits

The threshold of **20,000** is substituted for **2,00,000** in cases of:

 **PACS:** Primary Agricultural Credit Societies.

 **PCARDB:** Primary Co-operative Agri. & Rural Development Banks.

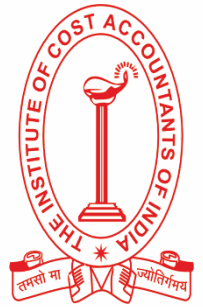
Revised Limit :

₹ 2,00,000

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Sec 185: Exemptions



Exempt Entities

Restrictions on cash acceptance do not apply to:

- The **Government**.
- Any **Banking Company** or Post Office Savings Bank.
- Corporations established by **Central/State Acts**.
- **Government Companies** (Sec 2(45) of Companies Act 2013).
- Institutions **notified** by the Central Government.



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Section 186 – Receiving Cash

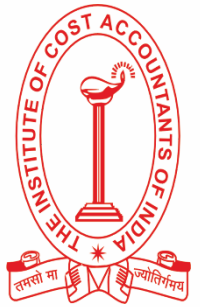
Restriction on high-value cash receipts
(Old 269ST)



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₹ 2 Lakh Receipt Restriction



Single Day

Aggregate from a person in a **single day** even for separate invoices.



Single Transaction

Receipt in respect of a **single transaction**, even if split over multiple days.



Single Event

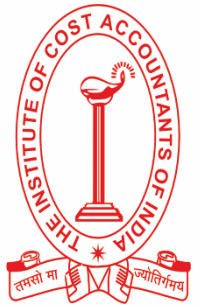
Transactions relating to **one event or occasion** (e.g., a wedding or function) from a person.

Provision is not applicable in case of receipt by Government, any banking company, post office savings bank or co-operative bank

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Practical Scenarios & Limits



A. Medical Emergencies

Cash receipts by hospitals are subject to the same ₹ 2 lakh limit unless exempted by specific notification.



B. Asset Sales

Selling a car for ₹ 2.5 lakh in cash is a direct violation, attracting penalty on the **recipient**.



C. Banking Exemption

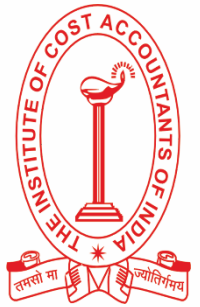
Withdrawals from your own bank account are **NOT covered** by Section 186.

Provision is not applicable in case of receipt by Government, any banking company, post office savings bank or co-operative bank

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Infrastructure Mandates



Section 187 – Digital Infrastructure

Businesses exceeding specific turnover thresholds must integrate prescribed payment modes to modernize the economic landscape.

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The ₹ 50 Crore Digital Mandate



50Cr

Annual Turnover
Threshold

Section 187 Obligations

Every person carrying on business/profession with total turnover > ₹ 50 Crore in the **preceding tax year**.

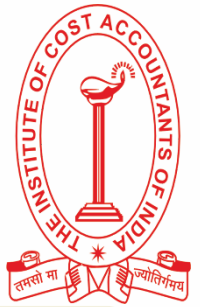
MUST provide facilities for accepting payment through **prescribed electronic modes** (Rule 133).

Non-compliance attracts penalty for **duration of failure**.

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Prescribed Modes (Rule 133)



Debit Cards

Specifically those powered by RuPay.



Unified Payments (UPI)

BHIM-UPI and UPI QR Codes.



Digital Currency

Tier-III Full KYC CBDC wallets.



Merchant Responsibility

The facility must be provided **in addition to** any other electronic modes like credit cards or private gateways.

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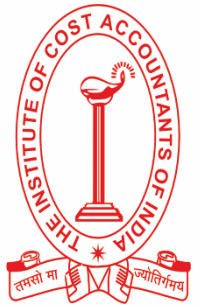
Section 188 – Repayment

Restricting cash outflows for loans and advance settlements.

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Sec 188: Repayment Restraints



The ₹ 20,000 Rule



No branch of a bank, company or firm or other person shall repay loans/deposits in cash if the aggregate is ₹ 20,000 or more.

Interest Inclusion



The limit applies to the sum of **Principal + Interest**.

Specified Advances



Includes money received for **immovable property transfer** which is now being repaid.

Bank Credit Mode

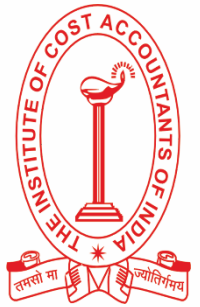


A bank can repay by **crediting the savings/current account** of the person, which is deemed compliant.

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Repayment: Special Co-op Limits



Primary Societies

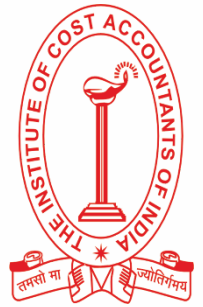
The threshold is increased to ₹ 2,00,000 for specific rural entities:

- ✓ **PACS:** Primary Agricultural Credit Societies.
- 🏠 Primary Co-operative Agricultural & Rural Development Banks.
- 📘 Applies to both **acceptance and repayment** to members.

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Sec 188: Exemptions



Exempt Entities

Restrictions on cash repayment do not apply to:

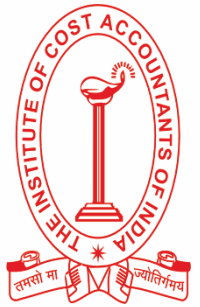
- The **Government**.
- Any **Banking Company** or Post Office Savings Bank.
- Corporations established by **Central/State Acts**.
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- Institutions **notified** by the Central Government.



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Penalty Matrix

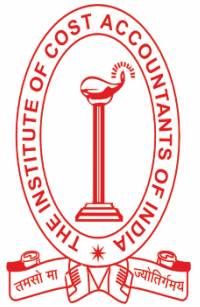


Contravention	Penalty Section	Quantum of Penalty
Cash Loan/Deposit Acceptance (Sec 185)	Section 450	Amount equal to Loan/Deposit
Receipt of Cash > ₹ 2 Lakh (Sec 186)	Section 451	Amount equal to sum received
Failure to provide E-Modes (Sec 187)	Section 452	₹ 5,000 per day of failure
Cash Repayment (Sec 188)	Section 453	Amount equal to Repayment
Under-reporting or mis-reporting	Section 439	50% to 200% of Tax Payable

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Defense: Reasonable Cause (Sec 470)



Non-Imposition

No penalty shall be imposed if the person proves **reasonable cause** for the failure.

Burden of Proof

Lies entirely on the **assessee** to demonstrate the reasonable cause

Scope

Covers violations of **Sections 185, 186, 187 and 188**.

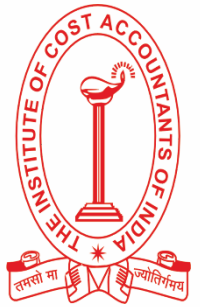
Business Expediency

While not a blanket excuse, **emergency situations** or lack of local banking infrastructure (per Rule 26) may be considered.

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Tax Audit Report: Cash Disclosures



Reporting Cash Receipts

Threshold Monitoring

Tracking single-day or single-transaction aggregate cash receipts.

Specified Limits

Reporting of any amount received against prescribed statutory limits per event/nature.

Particulars Needed

Name, PAN/NID, and transaction links of the paying party.

Reporting Cash Payments

Business Expenditure

Compulsory disclosure of high-value cash outlays matching disallowance triggers.

Loan & Deposit Repayments

Tracking structural cash pay-outs made outside banking channels.

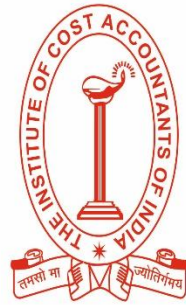
Exceptions Mapping

Segregating allowances from Rule 26 exceptions.

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Thank You



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www.icmai.in

Headquarters:

CMA Bhawan, 3, Institutional Area, Lodhi Road, New Delhi - 110 003

Ph: 011-24622156

Kolkata Office:

CMA Bhawan, 12, Sudder Street, Kolkata - 700 016

Ph: 033-40364743/40364735

Tax Research Department

Email: trd@icmai.in / trd.director@icmai.in

Ph: 033 - 4036 4714 / 4036 4718

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